



Image 9.7 – Put Debit Spread in Nifty (Result)

As expected, the price showed an excellent down move after the breakdown of the lower channel (image 9.7).

At 3.15 PM, the price of the options are as below:

15800 PE price is 95.9

15700 PE price is 43.7

So profit from 15800 PE position is $(95.9 - 49.65) = 46.25$ points

Loss from 15700 PE position is $(43.7 - 21.8) = 21.9$ points

Total Profit $(46.25 - 21.9) = 24.35$ points.

Only Rs. 25,000 (approx.) is enough to execute this strategy (1 lot = 50 qty). In the above case, the profit will be Rs.1220 on the capital of Rs.25,000, which results in nearly 5% ROI in one trading day!

Strategy #3 Short Strangle